

Q2 2025 AP Moeller - Maersk A/S Earnings Call Transcript

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Key Points

• Transcript

Ask GuruAI

Key Points

Positive

- A P Moller Maersk AS (AMKAF) delivered strong financial performance with an EBITDA of \$2.3 billion and an EBIT of \$845 million, despite a volatile external environment.
- The company successfully transitioned to the Gemini network in its ocean segment, achieving a reliability score above 90% since its launch.
- Terminals performed strongly, with record high volumes and a return on invested capital (ROIC) of 15.4%, well above the 9% target.
- The logistics and services segment showed improvement with an EBIT margin of 4.8%, reflecting a year-on-year improvement of 1.3 percentage points.
- A P Moller Maersk AS (AMKAF) increased its financial guidance for 2025, expecting an underlying EBITDA of \$8 to \$9.5 billion, up from the previous guidance of \$6 to \$9 billion.

Negative

- The company faced geopolitical volatility and low visibility into macroeconomic factors, impacting its operations.
- North America, the largest region in terms of revenue for logistics, experienced an 8% year-on-year revenue decline.
- Ocean segment faced challenges with lower freight rates, which were down 9.6% year-on-year, impacting profitability.
- The logistics and services segment is still working towards achieving its 6% EBIT margin target, indicating room for improvement.
- There is continued uncertainty regarding the Red Sea situation, which is expected to cause disruptions for the full year.

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Q2 2025 AP Moeller - Maersk A/S Earnings Call

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===== Presentation

Unidentified_1 [1]

Welcome everyone and thank you for joining us on this earnings call today as we present our second quarter results for 2025. My name is Vincent Clerk. I'm the CEO of AP Moe Maersk, and with me in the room today is our CFO Patrick Yanni.

Right.

As usual, we start with the highlights from the quarter that just passed. In the second quarter of 2025, we demonstrated strong financial performance in a volatile external environment.

We delivered EBD \$2.3 billion and an EBIT of \$845 million driven by strong execution across all our businesses.

This happened against the backdrop of a historically uncertain external environment which materialized already towards the start of the quarter as we discussed at our earning call in May.

The geopolitical volatility and low visibility into macroeconomic factors that we experienced this quarter were unprecedented.

Nevertheless, in each of our business segments, we have performed well.

In logistics and services we carried on with our progress delivering an EBIT margin of 4.8% towards our own targets of 6%. This reflects continuous improvements in relation to previous years and previous quarter.

In ocean we successfully completed our transition to Gemini on our east west network and posted strong volume growth and good profitability. All the while we navigated significant volume and rate volatility, not the least on our Trans-Pacific service.

June marked the 1st month in which Gemini operated exclusively with the all2M network now fully phased out. We are thankful to all the in the teams, to all the teams who contributed to making this such a success.

Terminals continue to perform strongly, supported by high volumes, higher revenue per move, and high utilization.

With the first half of the year now behind us, what does this mean then for our financial guidance?

First, given the 1st 6 months and our view into Q3 as well, our outlook for the container market volume growth for 2025 has improved. We now expect growth to be a positive to be between a 2 and 4%.

While there is continued uncertainty for North America, market demand outside North America has proven to be more resilient than initially expected, allowing us to increase our volume outlook.

Our view on the Red Sea situation remains unchanged such that we still expect that the disruption will last for the full year.

Ultimately for our financial guidance we now expect our full year Abit to be between \$2 and \$3.5 billion. This is up from the previous EBIT guidance of between 0 and \$3 billion.

More details will follow later on the call.

Now taking a closer look at each of our business segments, starting with logistics and services, we achieved an EBIT margin of 4.8%. This represents a year on year improvement of 1.3% points and brings us closer to our 6% target.

This reflects also progress in our challenged products of air, middle mile and last mile areas in which we have re-based our business as well as the cost base to improve profitability.

The progress we have made on the operational front, however, was impacted by the uncertainty we have experienced in North America.

With which is our single largest region in terms of revenue in logistics. Regional revenue in North America was down 8% year on year for the quarter.

While we have advanced, there is more to be done, and we will continue to take all necessary actions to improve profitability and achieve profitable growth.

In ocean we demonstrated strong execution, not least with Gemini now fully and successfully phased in.

As you might have seen from the different reports, we have achieved already at this stage reliability score above 90% since the launch in February.

Cost savings are also on track and we will be able to share more data on this on our next quarter's call.

Despite the volume and demand volatility we experienced throughout the quarter, we showed strong volume performance with volume up 4.2% year on year and 10% sequentially.

This is a testament to the strength and agility of our network, not least our ability to manage vessel capacity swiftly and effectively to adjust to the demand changes we see in specific part of the network.

This has also led to good capacity utilization of 94%, which increased about 2% points sequentially.

We continue to see the longer term of rates.

We continue to see the longer term trend for rates coming under pressure as the supply demand imbalance widens.

Our average loaded rates were down 7% sequentially.

Nevertheless, market spots rates at the quarter end were 37% higher at the end of the quarter than they were at the end of the first quarter.

This sets a good exit level for the quarter and a and a watermark to carry over into the next quarter.

In terminals we delivered another excellent quarter driving driven by record high volumes supported by the extra volumes that Gemini has brought to our gateway terminals. Revenue per move increased year on year supported by storage revenue and price increases across the portfolio.

The terminal ROIC also reached a record at 14 15.4%, well above the 9% target, and here our invested capital will increase in the coming quarters as we continue to invest in our portfolio, including.

The Port Elizabeth extension which we announced back in March.

Turning to our midterm targets, as you can see, we are full on all but two of the circles on the page. Needless to say, we are working to increase our profitability in logistics and services which is trending in the right direction with sequential and year on year margin improvement.

We have made good operational progress in our challenged products of air, middle mile and last mile while seeing good revenue growth in other products more in line with our organic revenue growth targets.

The message here is clear, however, we are progressing, but we are not satisfied with where we are. Our priority is to continue to improve in the coming quarters and double down on our efforts.

Back in May we expressed more cautious view on demand due to the geopolitical volatility and lack of visibility into macroeconomic factors.

The strong market demand that we expected at the start of the year looked more uncertain and potentially worsening the supply and demand imbalance for the rest of the year.

Nevertheless, the delay in the potential reopening of the Red Sea allowed us to maintain the original guidance communicated in February.

In the meantime, we have seen stronger volumes in the 1st 6 months of the year and expected part of this momentum to carry into the second half.

That said, the situation remains fluid, and we continue to watch trade development as well as consumer demand patterns and inventory levels very closely.

On other and on other supply side rivers, there was essentially no change. New industry delivery is fixed such that about 2 million TU of capacity will continue to enter the global fleet for the full year. The Red Sea reopening looks unlikely, and we still expect the disruption to remain with us for the full year with potential congestions to ensue.

Similarly, our view on supply side drivers in response to the Red Sea reopening remains unchanged from our expectations.

Overall, the positive delta of strong market demand looking more uncertain allows us to increase our container volume outlook and ultimately our financial guidance.

And that is a good segue into the next slide.

As mentioned earlier, we now expect global container volume growth to be between 2 and 4% for 2025, given the more resilient demand that we are seeing outside North America.

This puts us away from the scenario in which we could see a negative volume growth for the year and is an upgrade from the previous volume outlook of 1 to 4% from May.

There is no change in our assumption of the Red Sea disruption which we still expect to be with us for the

full year and absorbing net supply in the industry.

Against the backdrop of this factor, as well as a strong first half year performance, we upgrade our financial guidance for full year 2025 to an underlying Ibida of 8 to \$9.5 billion previously 6 to \$9 billion.

And our underlying Abi from 2 to \$3.5 billion previously from 0 to \$3 billion and a free cash flow of negative \$1 billion dollar or higher, previously negative \$3 billion or higher.

Our CapEx guidance of \$10 to \$11 billion for 2,425 combined and 2,526 combined remains unchanged.

And I will now hand over to Patrick who will walk you through the detailed financial and segment level performance.

Unidentified_2 [2]

Thank you, Vincent and hello to everyone on the call.

Q2 2025 was another quarter with strong financial performance across the group, delivering results broadly in line with our previous year performance, despite a much more volatile operating environment.

We reported a bid of \$2.3 billion and Abid of \$845 million resulting in an Ebi margin of 6.4% compared to last year's Abidda of \$2.1 billion and an abid of \$963 million.

Sequentially Performance declined moderately as expected, driven by the softening of rates in ocean due to the increased supply across tra lanes.

The erosion in ocean was however cushioned by our other businesses with increased performance in logistics and services, benefiting from operational gains and continued excellent performance in terminals.

Net profit after tax was 639 million, leading to a strong return on invested capital of 13.7%, driven primarily by the high earnings in Q3 and Q4 of last year.

Free cash flow for the quarter was 373 million.

Owing to the slightly lower profitability combined with ongoing ocean and terminal investments and an increase in working capital, our capital structure remains strong, and we returned \$864 million cash to shareholders during the quarter, including \$514 million through share buyback. Our buyback program is well on track, and we are committed to continue returning cash to shareholders while also investing in our strategic priorities.

Total cash and deposits stood at \$19.9 billion with net cash at \$2.5 billion. Our balance sheet remains therefore healthy and well above our maximum leverage thresholds.

Let's take a closer look at cash flow on slide 11, where we can see that cash flow from operations increased to \$1.9 billion in the second quarter, driven by a higher year on year EBIT of \$2.3 billion which was partially offset by a networking capital increase of \$332 million half of which was currency related.

This led to increased cash conversion of 81%, up 5% compared to Q2 2024.

Capitalized lease installments increased to \$1 billion impacted by the concession extension of our terminal

in Port Elizabeth in New Jersey while the gross CapEx remains sequentially stable at \$1.3 billion and in line with our multi-year guidance as we continue investing into growth in terminals and LNS and maintain our fleet renewal program in ocean.

You can also see the impact of a \$687 million dollar acquisition of the Panama Canal Railway Company that was made on April 1st and now \$864 million return to APMM shareholders during the quarter.

Turning to our ocean segment on slide 12, ocean delivered a solid operational performance in Q2, despite an extremely volatile trading environment, continued softening of rates, and elevated cost pressure. At the same time, the business successfully transitioned to the new Gemini network with initial reliability scores in line with our ambition.

Volumes were strong, growing 10% quarter on quarter across all trades and 4.2% year on year. This growth supported a high utilization rate of 94%, up 1.8% points compared to Q1.

Lower freight rates continued decreasing land with expectation, down 9.6% year on year and 6.9% sequentially with increasing volatility through the quarter as market dynamics shifted rapidly.

This was partially mitigated by active capacity management and strong cost control.

From a financial standpoint, ocean generated an EBIT of \$229 million.

Equivalent to 2.7% margin and an EBIT of \$1.4 billion which is broadly in line with the same period last year and reflects strong execution on costs and volumes despite rate erosion.

A EBIT was impacted by higher depreciation amortization costs following continued capacity investments and comparatively the absence of gains on vessels and container sales of \$202 million that we had in Q2 2024.

Slide 13 illustrates all the main elements of ocean's year on year EBIT development. On the left you can see the large negative impact on profitability from the 9.6% lower freight rates cushioned by the tailwind of 4.2% increased volumes. Ocean saw a positive impact of \$271 million from lower bunker prices compared to last year, while container handling and network costs increased slightly.

EIA was also supported by detention and demurrage revenue together with a large technical impact from the timing effects of rates as we are comparing to a period of steep rate increases back in Q2 2024.

All in all, these offsetting factors brought Q2 2025 EBIT to \$1.4 billion a 2.6% increase year on year.

Let's now have a look at the ocean KPIs on slide 14. The ocean business solid performance in the 2nd quarter is highlighted in these metrics.

With a strong volume growth helping to offset a dynamic rate and cost environment.

Loaded volumes increased 4.2% year on year, reaching 3.2 million FFEs as demand remained resilient on key trade lanes including Asia Europe, Middle East Europe, Latin America, and intra-Asia.

Sequentially, volumes were up 10%, supported by a strong network execution and growth across all regions.

As stated earlier, our average rate rates declined 9.6% year on year and 6.9% compared to Q1, reflecting the adverse sequential rate development. This rate erosion is a direct result of excess capacity and pricing pressure in the market.

During the quarter, however, volatility was high and exit rates were significantly higher than the average rates of the quarter.

On the cost side, operating costs excluding bunker rose 9.3%, largely due to higher handling charges and network related costs.

Unit costs at fixed bunker was up 1.8% year on year at \$2,409 per fee.

But improved 5.1% sequentially, reflecting the benefit of higher volumes.

Bunker costs were down 16% year on year.

Due to both lower fuel prices but also increased efficiency which allowed for reduced consumption despite higher volumes.

The average operated fleet grew 7.1%, reaching 4.6 million TEUs.

In line with our planned vessel deliveries and the strategic injection of capacity to meet the strong demand.

Capacity utilization also remained high at 94%.

In Q2 we maintain a balanced mix between short term and long term contracts with 48% of volumes on long term agreements for the entire year we expect a 50/50 term split.

Let's now turn to our logistics and services business on slide 15.

In the second quarter, logician services delivered revenue of \$3.7 billion up 1% year on year. This was driven by growth across most products, particularly in the logistics, warehousing in first mile, which continued to see strong customer demand, while the executed rebasing of a middle mile and first mile activities impacted the previous year comparison.

Geographically as we alluded to before, logistics and services saw growth from all markets outside of North America with strong year on year growth in particular from Latin America and India, Middle East and Asia.

However, the operational growth made across the broader portfolio was partially offset by continued headwinds in the segment's largest markets, North America, where performance was sluggish during the 2nd quarter.

Abi improved to \$175 million representing a 39% year on year increase.

And the Abi margin rose to 4.8%, up 1.3%. Percentage points from Q2 last year. The increased habit reflects ongoing profitability and productivity gains in multiple products.

And a core component was the slow but steady improvement in our middle mile, 1 mile and air businesses.

Now let's have a look at the product level breakdown with logistics, services on slide 16, starting with our freight management offerings. Revenue were year increasing by 6.3% year on year to \$522 million with the EbiTR margin improving to 21.7%, up from 18.1% last year. This performance was driven by strong contributions of the upselling of value adding services in the logistics and strong performance of cochain logistics.

In fulfillment services, refocusing efforts in middle mile and last mile in North America, together with the continued momentum in warehousing led to improvements in profitability with only modest impact to the top line.

Revenue declined slightly by 1.7%, reaching \$1.4 billion whereas the ABTR margin improved to 1.1% from 3.2% last year.

Revenue rose moderately in our road and air transport activities to \$1.8 billion equal to a 1.7% increase year on year.

And supported by high volumes in 1 mile land transportation.

A bidar margin remained flat at 7.4%. We round off with our terminals business on slide 17 where terminals delivered another strong quarter, continuing the positive trend seen across the last several quarters.

Revenue grew by 20% year on year to \$1.3 billion driven by higher volumes, improved tariffs, and higher storage revenue.

Volumes increased 9.9% with a strong uplift across all regions.

And supported by our new Gemini network as volumes from our ocean business alone increased 29%.

The higher volumes boosted utilization, which rose to 86%, with several terminals operating close to maximum capacity.

Revenue per move increased 8.9%, reflecting an improved terminal mix, pricing and storage revenue.

Meanwhile, cost per move increased by 12%, largely due to significant labor inflation, but partially mitigated by the increased utilization.

Have been increased by 31% year on year to \$461 million with a margin of 35.3%, up 2.9% points from Q2 last year.

And it's 3.3 points higher sequentially.

This was supported not only by the strong operational result but also by higher income from joint ventures and associates companies and the one-offs. Sequentially, the operational performance has stabilized at the current high level.

Roy rose to a record 15.4% underlying the strong return profile of this business despite the continued high level of investment. CapEx for the quarter came in at \$141 million with the increase driven by construction and expansion of new terminals.

Turning to the breakdowns of the terminals at be down slide 18.

Terminals delivered an increase a bit of \$50 million from \$408 million to \$458 million which was driven by the growth in volumes and the increase results from GVs and participations.

The revenue per move also increased significantly, allowing to fully offset the \$103 million headwind from higher cost per move primarily due to labor inflation.

And with that we have finalized the review of our business segments and we are ready for the Q&A operators, please go ahead.

Unidentified_3 [3]

Thank you. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their telephone. You will hear a tone to confirm that you have entered the queue.

If you wish to remove yourself from the question queue, you may press star then 2.

Questioners on the phone are requested to disable the loudspeaker mode while asking a question.

In the interest of time, please limit yourself to one question.

Anyone who has a question may press star and one at this time.

The first question from Alexia Dougani, JP Morgan. Please go ahead.

Yeah, good morning.

Unidentified_4 [4]

Thank you for taking my question. Can we firstly discuss on the ocean coast position, please? And how would you describe your margins versus the industry currently, because when I look at Q1 and the most recent performance, they're slightly or kind of, well, depends if you compared to the Asian carriers quite below average. And would you say that because the revenue quality or the cost position, and I asked this question because you help show that the Q2 2019 EI margin was around 3.5%. But at the time the SCFI was around 750, and today the average in Q2 of the SCFI is almost double, more than double, and the margins are lower. So I guess my question is how should we think about the cost evolution, particularly in ocean and Yeah, given where we are today.

Thank you.

Unidentified_1 [5]

Hi Alexia, Vincent here. So I think let me just start by saying that at least compared to the revenues that have been published, here over the last couple of quarters by the few who do that, we see both our cost and our EI being, well ahead of what others are achieving in the current market.

Obviously the fact that we have a large part of our network sailing around the Cape of Good Hope.

Has added a lot of cost. It has done that for everybody, and it means that actually the relationship between what's your break even point.

And what and and therefore to equate a certain CFI level to a certain profit level that has That has basically split already in part during COVID where you saw a lot of inflation on cost, mostly around the time charter markets and And inflation in terminal cost, but certainly also following the disruption on the Red Sea, we saw simply further inflation in the cost space because of the longer sailing distances that that we have, which means that our break even point.

Is of course higher now than it was in 2019.

Which is also what your your your studies is showing.

But in the current market, I think ONE came out recently and CMA had some limited disclosure and so on. I mean, overall, we achieve a better volume, and better margin performance than than what they are able to achieve at at this stage.

Unidentified_3 [6]

Okay, and.

Unidentified_4 [7]

Can I just ask a follow up just on helping with modeling. The deterred, sorry, the deer and detention revenues in Q2feroan were up really strongly, up 20% year over year. Is that going to continue and why? Thanks.

Unidentified_1 [8]

Yeah. So what you see with the demerge is two things. When you have uncertainty, you have more demerge. There was plenty of that in the 2nd quarter. There is still some of that in the 3rd quarter.

And also when you see, a deceleration of demand, that tends to be more deerg because customers are slower at picking up their containers. When the economy heads strongly up. Then you see actually less demerge because customers are eager to pull their containers and get the goods moving through the supply chain. So what we had, is higher demerge revenue because of, a lot was dictated by the uncertainty on tariff and some of that uncertainty is still there. It's hard to see what this is going to mean because since we don't know.

How the China negotiations are going to play out, which is really the big chunk of it.

It's hard to see how what this will mean in the for the rest of the year, but yeah, the continued uncertainty and and sluggish demand into the US it's likely to produce higher than average, demerge revenues for the rest of the year.

Unidentified_3 [9]

Okay, thank you. I appreciate the time.

The next question from Christiana Goddison, S E D. Please go ahead.

Unidentified_5 [10]

Thank you. So I'll limit myself to one question to start with. So question on Gemini. So maybe could you give some more flavor and you mentioned that you would.

A give an indication on providing an update on the on the cost savings that that you are indicating that it could be above the 500 million you've you've mentioned and then also maybe you comment now that you have lived up to your target of plus 90% reliability.

Could you comment on the potential for you to get a premium on the freight rates when you'll have that discussion with clients.

Thank you.

Unidentified_1 [11]

Yeah, thank you, Christiane. I think, so.

All indicate, so as you mentioned, we have 5 months now since the first service phased into Gemini, and when we look at that data for the Gemini part of the network, ALL 5 months have been above 90%. So we're quite happy with the start. Now, we have had periods where we could deliver high reliability. The real secret now is to prove to customers that happens, what happens, we can always deliver that high reliability.

Which goes a bit to your questions. I think it's too early yet to talk about premium.

There is any skepticisms that there might have been in the market before about the ability to deliver the 90% is gone.

What is and what is really important is this is not only on schedule, but we can see it through data that also on cargo availability and so on, we're, there is a wedge that is coming as a result of Gemini between what Gemini delivers and what the rest of the market delivers, which is really encouraging.

Now we need to sustain this for a while and then we need to move towards a more commercial discussion. I think it's premature at this stage. I don't think customers have experienced this long enough that they're ready to entertain such a discussion, but it is something that is going to come.

With respect to cost, all indications that we have in terms of how we're able to operate, in the 2nd quarter. Indicates that that we will deliver in excess of of what we have promised. I would like to be able to come back to that with more detail at the next quarter's call because then we will have actually a full quarter of actual that we can put in a topical slide in this investor call showing basically what we achieved versus our baseline for the for the business case and and what that means but. I think the strong, the strong utilization that we have, on the same fleet means an increase in asset turns, lower bunker consumption. So the costs

are coming, the cost savings are coming through exactly, in the buckets that we expected, just a little bit more. So I would like to confirm this for the quarter and get back to you in November with some more evidence and quantified the math behind it.

Unidentified_5 [12]

Okay, thank you.

Unidentified_3 [13]

Look forward to that.

The next question is from Alex Irving Bernstein. Please go ahead.

Mr. Irvin, your line is open. You can ask your question.

Unidentified_6 [14]

Sorry, I was on, it's still on mute. Good morning, gentlemen, thanks for taking the question. My question's also on Gemini, specifically around the unit cost. How has that been performing relative to your expectations? What cost savings have you realized so far from Gemini? What cost savings remain ahead, and when do you expect to realize those.

Unidentified_7 [15]

Please?

Unidentified_1 [16]

Hey Alex, I think, let me, I think take again what what we had at the previous, question. So on the we we're seeing the unit cost come down as a result of, Gemini, a little bit in excess of what we had put forward in the business place. So that is really good and it's coming down into into 22 buckets that are driving two principal buckets that are driving down the unit cost. One is. The reliability on the schedule means lower fuel consumption.

And the second one is less less sale distances, also means higher asset intensity. So we can basically move more cargo on on the same, on the same amount of tonnage which lowers the unit cost as well through these efficiencies. So, by next quarter we will have a full quarter of of data.

That is just on one system that we can then compare to the baseline that we have for our investment or for the for the project and then we will present this in somewhat more detail at the next quarter because.

It's important to have the data that that that can show so you can follow actually the waterfall on how the different buckets play like we have more transshipment that was expected. We have less bunker that was expected, we have higher asset intensity that was expected and how this nets out to a lower unit cost.

 Unidentified_7 [17]

All right, thank you very much.

 Unidentified_3 [18]

The next question from Lars Heindorff Nordea. Please go ahead.

 Unidentified_8 [19]

Yes, morning.

Thank you for taking my question as well. If I can stay on the ocean part of the business, Vincent, I hear you talking about the Gemini, and you've been fairly upbeat about it, and I understand that it will take a bit of time before we see the fool proof, and I'm sure you'll give us a lot more data when we get to November and maybe also beyond. But so far, if you look at just the quarter here, network cost up by 16%, nominal capacity up by 7%, volumes up by 4.

I hear what you say, but it doesn't add up if you just take those numbers to something which looks really well in terms of the unit cost. I know that the consumption consumption is down, but if you can just TRY to tie those numbers together, which to me doesn't really appear to be super strong.

 Unidentified_1 [20]

So I think the best we can do, La, is really to come back to you, next quarter with the, with the math behind, how this is working. I cannot quite recognize, the fact that we're not making progress on the unit cost in the quarter, given the volumes, that we have delivered and the fact that the fleet is fairly stable. So I think that's what I would like to do is from a cost perspective, I think there's clearly been progress and one of the key levers of that progress is Gemini. And that's why I think it's important for us to come with a clean quarter where there is only Gemini and then compare it with the baseline where there is no Gemini so that you can see actually where this is happening and you can see the different buckets and.

I promise you we'll get to you with a slide that helps kind of unpack, this and peel the onion. What we can see at least right now is from a cost perspective we're making more progress than the competition we're up against, and that is certainly something that is encouraging and that for us we assign already to the.

To the early cost savings that we're getting out of out of Gemini.

 Unidentified_8 [21]

Should we expect just to follow, Should we expect that the capacity growth will continue around these levels here, 7% in the second quarter in the second quarter?

 Unidentified_1 [22]

No, we don't have any plan of of capacity growth in terms of fleet growth.

Unidentified_8 [23]

Okay. All right. Thank.

Unidentified_3 [24]

You.

The next question from Ulrik Bach Danske Bank. Please go ahead.

Unidentified_9 [25]

Yes, hello, Vincent Patrick. Just a question on your guidance. Could you please provide some color on what you have assumed for the upper and lower end of the updated guidance in terms of the container rates? And furthermore, you now expect global volume growth of 2 to 4% for the full year. And given that you delivered 2% for the first half, the guidance implies that you should grow ocean volumes by 2 to 6% in the second half and 4% for the midpoint.

Just other companies who have already reported Q2 figures talk about.

An absent ocean peak season and that has been very muted this year and we also have very strong cons from last year. So at least in terms of the market, so 6% for the for the upper end seems very ambitious. So what are you basing those assumptions on the rates and volumes.

Unidentified_1 [26]

Yeah, so I think, what we, what we have put in the volume guidance when we have the 2 to 4% is.

The lower end reflects so basically both assume a fairly continued sluggish US market for the rest of the year.

And then the question is the strength of exports from China to the rest of the world. How long and hard is this going to continue? It it stayed through through the the full year last year and continued well into this year and is actually the engine behind stronger demand growth. And there is a question here for me whether we are in the process of rebalancing of global trade where USA basically goes a certain way with a tariff regime. And China continues to to gain market share and if they do that on the back of the industrial successes that they're having and the overcapacity that there is in China, this could actually carry stronger market growth than anticipated for a few years. That, that's one of the thing I think that is.

One part of the story of what's happening right now that is not necessarily super well understood. If this continues as strong as it is right now, and at least, we, we're a good chunk into the 3rd quarter and it's, it shows no signs of abating, then you would need basically the 3rd quarter to continue in the vein of the 2nd quarter. And then the big question is whether the 4th quarter. Softens a lot or the or the or the 4th quarter continues relatively strong on the back of strong industrial production from China. That's the difference. A lot of the difference between the 2% and the 4% is actually in the 4th quarter. Is the uncertainty that there

is around the 4th quarter. Do we see a strong deceleration at some point. And the fact that if things go slow in the US, eventually, other markets start to feed it too, or do you see this dichotomy between where the what the US is doing and how the rest of the world is, traveling? Do you see this continuing into next year? That's the delta between the two. The big factor that there is, for our own ability to perform is the fact that.

We mentioned before the increase in asset intensity that Gemini does is that Gemini does not increase the size of the fleet, but it increases the amount of capacity that we can offer every week.

And that that's the big part of the business case. The the way we lower the unit cost is by being able to load more volumes on the same size of fleet.

And so that's that's why with a market that will grow between 2 and 4%, we fully expect that our own performance will be within a few decimals of what the market does up or down depending on how things play out. And we have obviously modeled this, and this would not be possible actually without the capacity that Gemini is creating for us. So capacity discipline or investment discipline helps us, through Gemini, we palliate through Gemini with that and we get a bit more capacity, at a very cheap price.

Unidentified_9 [27]

And the rate assumption, please.

Unidentified_1 [28]

Yeah. So the rate assumption reflects also the volume view, which is, I think, we mentioned that the spot rate was 37% higher at the end of the second quarter than it was at the end of the first quarter, which basically also means that it's, it was quite high coming into the 3rd quarter. So we have a fairly supportive, rate environment. And as long as demand, holds somewhat, then, you will see maybe a slow erosion, but you will still see fairly.

Fairly good rate levels for the quarter. I think the big question for me is, Q4. If this holds, we can still have a decent, Q4. If you see suddenly a sharp deceleration following the normal peak or a bit less, a bit of weakness from China to the rest of the world, then you could see more of an adjustment during the 4th quarter of spot rates, especially. And that leading into contracts of course is not necessarily great news but but at least for now is very much, it's very much ambiguous to see if if we're going to continue strong or if we're going to see a weakening in the 4th quarter.

Unidentified_9 [29]

Thank you so much.

Unidentified_3 [30]

The next question from Jacob Blacks was research. Please go ahead.

Unidentified_10 [31]

Hey, thanks for your time. So, even with the returns here today, you're still at a net cash balance. Can you discuss what you think the right leverage is for the business with a continued risk of an oversupply environment and with logistics margins getting it back towards your 6% target? Do you expect to look increasingly at M&A again?

Unidentified_2 [32]

Yeah, hi, so, we do have quite, a good balance sheet as you've seen, we have 19.9 billion cash. The leverage is good. I think when you look at our cash generation, we are where we want it to be. We have a planned for start cash erosion, this year, given the fact that we continue to invest the 5.5 billion on average that we have guided for. So from the cash generation we had a bit of a negative fix effect in the first half.

But overall we are on track, which means that we do have the capability to to leverage up, which we have said we will do. First we will continue the share buybacks and and the return to shareholders.

And then we will obviously have a better view on The evolution in the ocean and as we have always said, we do have a reserve of cash which is available to reinforce growth in tins and in logistics whether that's, by acquisition or on on the on the organic side. But for now we I think we're very disciplined and we focus on generating cash. I think we have probably more potential to generate cash in the second half of the year than we did in the first half, and we focus on that. So I think that is really where where the focus is right now. It is not on spending the cash, but on earning the cash.

Unidentified_1 [33]

And on logistics and services, I think what we have said before is we need to close the GAAP to the 6.1%, during this year. That is still our goal. It's of course not very helped by the fact that we are heavier exposed to North America in logistics than in any other segment, and that's the most. That's the most volatile part of what's going on in logistics right now, but we, still remain, focused on, working on margins to get this over 6, over 6% and reach that goal during this year. So there is a lot to be done in the second part of the year as we write also, or as we said also on the call earlier here. I'm not very satisfied with the speed of the progress. I think things are working and moving in the right direction, but from a pace perspective, I would wish for more pace. And I'm certainly, spending, a bit of time trying to figure out how we can accelerate the pace of recovery and the pace of profit in that business.

Once we feel I look at this being above 6% as an important proxy for having a business that is humming and that is ready to integrate businesses on and realize significant cost synergies and cost savings.

So that's why I think we're going to stay quite put until we're there and then it doesn't mean that the following quarter, we just throw ourselves at it, we need to prove ourselves and then we need to find the right candidate eventually, but. But yes, I think having a more diversified portfolio in logistics both from a geographical and a vertical perspective and also from a product perspective makes still a lot of sense for us and given also some of the challenges that our customers are headed into with a more fragmented world and a more a supply chain that is in need of serious retooling and re-engineering for us to be able to follow them through that transformation, unlock more value and and realize more business. It's quite important and it means that for the next decade, I'm actually quite optimistic for what the current direction of travel means because it will open a lot of opportunities for us, but we're going to need to, we're going to need for that to expand the footprint that we have.

 Unidentified_3 [34]

Thanks for your time.

Next question from Christian Nadalo UBS. Please go ahead.

 Unidentified_11 [35]

Hi, thank you very much. Can I please ask on the ocean rates for Asia, Europe, the current spot levels seem to be around 50% higher than the average Q2 levels. So could you elaborate a bit on your expectations on Asia EUR rates the next few months and just to come back, continuing on this, just to come back to your comment earlier. Do you believe the Q3 global rates will be higher than what you achieved in Q2? Is this what you're trying to convey a bit earlier or any color there?

Thank you.

 Unidentified_2 [36]

Hi Christian. So yeah, as we just elaborated right a a few questions, ago in your speech, we actually have had, and as you rightly mentioned, higher exit rates into Q3 than we had during, Q2. So from that point of view, we are, we're in a level where we certainly see that Q3 is probably more supportive both on the volume side and on the rate side, than than Q2 which speaks for a good evolution in the ocean in the quarter.

And as Vincent was highlighting earlier on, I think it's probably more the Q4 which brings the viability in the year. We'll have to see what is the evolution as far as we look, and this is why also we increase our guidance.

I think, 1st year was solid July, August demand as far as we can see the notion is pretty solid as well, as you mentioned, the rates are supportive, and then therefore the unknown element shifts into Q4, more than than Q3. And EQ4 you can certainly see different scenarios paying out, which is the one that we TRY to capture in in in our guidance. So we are confident for the year as we also have written in the guidance and we see the exact number will depend on mainly on ocean because terminus is on a good run and and logistics while being slow at improvement is improving so we'll TRY to force that pace but overall those businesses are, steady and getting around. And the viability will be Q4 in ocean and that will come back when we have more views, but for now it looks a pretty good environment.

 Unidentified_3 [37]

Thank you very much.

The next question from Cedar Ekblum, Morgan Stanley, please go ahead.

 Unidentified_12 [38]

Thanks very much. Just one question on Gemini. Can you talk about the flexibility of the Gemini network

relative to your previous network? To the extent we get much lower rates as we move into 2026 because of the supply demand outlook.

Are you able to remove capacity as quickly from the Gemini network and how should we think about that in the context of costs? Can costs come out as quickly, or do you need to maintain a certain level of sort of underlying capacity to keep that 90% utilization rate?

Thank you.

Unidentified_1 [39]

Yeah, so I think this is for me, it's very clear that with Gemini, we can adjust capacity faster.

In a much more flexible way than we could under the previous network, we can add it back also if the market demands it faster and in a more agile way than we could before, which means we can maintain a capacity offered every week, much more in line. With the actual demand that there is then we were able to before and we can do that with less disruption to customer and that that's pretty if you think about it, if you have a rotation with 14 different ports and you cancel that rotation, you have to find 14 different solutions. If you have your shuttles bringing things to a few hubs, you can actually adjust those, in a very easy manner and you don't need to disrupt all of your networks. So our customers will feel it a lot less. And we have had actually a test with this during Q2 with the the just as we were into getting into Gemini we had suddenly a drop on the Pacific of of over 35% for some weeks.

And we were able, I think the good volume performance that you see, here is in no small part because we were able to, whether the volatility and demand between China and the US where, if you look at the weekly numbers, you would not know which week there was tariffs and which week there was no tariffs, because we could swing the capacity completely at will, and without disruptions. And actually, we've also got a lot of feedback from customers saying that. The way we are able to do it with Gemini is a significant advantage for them because of the less disruption that it causes for the stuff that does need to move.

Unidentified_12 [40]

That's helpful.

Thank you so much.

Unidentified_3 [41]

The next question from Marco Limi Barclays, please go ahead.

Unidentified_13 [42]

Hi, good morning. Thanks for taking my question. My question is on your thoughts around.

Global trade overall and China gaining market share over global trades. So starting from the Q2 volumes, I mean Q2 volumes were very strong despite US, which is 15% of EUR volumes, being, I guess, low single digit down.

You tell me, but that implies that all other trade lanes were even stronger than 4 or 5%. So I'm just curious about any further comment on what's happening there. Is China gaining more market share? So we are having actually more globalization rather than the globalization. And if yes, is China basically gaining market share on domestic production?

Or actually you think we are seeing a bit of front loading on some other trade lines, for example, in Europe. So how can you actually explain higher volumes of the China versus other destinations?

Thank you.

Unidentified_1 [43]

Yeah, Marco, I think the way I see this is with the accession of China to WTO in the early 2000s, we've seen a big movement of offshoring of production that has driven demand growth for container trades for a decade or more, well above GDP growth. Then we've seen a period after the financial crisis, up until I would say 20,212.

Where the demand was mostly in line with consumption because what could be offshored was being offshored. Now we're seeing a different phase and we certainly see an acceleration since 23 of this phase which is.

China is gaining market share on the world stage, not by producing stuff for Western companies, but by having their own companies going global and the example of the EVs and the solar panels and the wind turbines and chemical chemical products and you know across all verticals, the examples are well known and we're seeing more and more Chinese brands across mobile phones and computers and technology and so on. More and more are coming through. And this is what is happening right now, and I actually think that the fabric of global trade is changing and and despite all the talks of globalization, if you just look at the numbers, what we are seeing in the last 2.5 years is an acceleration of globalization on the back of a huge commercial success from Chinese companies taking market share on the global stage.

And then the question is it something that is going to last another quarter or another 5 years?

Because the market is big enough that they could go for 5 years, but some countries could also decide that it threatens the industrial base too much and they want to do something about it and you could see a rise of protectionism as a result. I don't know.

But what I know is that as long As the market works the way that the market works, there is a new driver in container demand that is that is.

Adding a lot of upside potential to what we're doing, which is moving those goods.

And this is not something that I think is well factored in the models going forward in terms of scenarios.

Unidentified_13 [44]

Very clear, thank you.

Unidentified_3 [45]

The next question from Peter Haugen, ABG Sandal Collier, please go ahead.

Unidentified_14 [46]

Good morning guys.

A quick question on capital distribution going forward. So we know that the share buybacks will be what have been communicated for the next 6 months, but also then in light of the earlier comments made on this conference call about the leveraging, how should we now think about share buybacks going into 26?

Thank you.

Unidentified_2 [47]

Yeah, thanks for your question. So really as we were saying before, right, our focus here is to have a very good operational performance in cash generation and return cash to shareholders, right? So when we reinstalled the.

Sha back back in in February for for the 2 billion of of this year we also say that it's not a one time element but it's certainly a view that we have that we do have the financial strength we have the cash capability to both invest in growth, because we have we believe the right strategy and you see it coming in in in the results of of the of the non-ocean parts, particularly this quarter for instance. But we also have a commitment to return cash to shareholders and our balance sheet can support both and therefore our commitment to to return cash to shareholders this is a multi-year commitment, which we have taken and we obviously renew it every year depending on circumstances and and and and so on, but it is certainly a part of our planning.

Unidentified_3 [48]

Thank you so much.

The next question from par Jane HSBC. Please go ahead.

Unidentified_7 [49]

Yeah, thank you, and my question is on what we have seen in the summer with respect to congestion in European ports or on or in your portfolio and how do you see that shaping up in the second half and more importantly in your Gemini cost network in the in the first few months, do you see the phase in phase out from from MSC or different services was one of the drivers behind your increase in the in the unit cost and if that's the case, do we see a normalization of cost based in the second half and how are you seeing at the increased.

Vessels that probably you'll have to charter to fulfill your feeder network. Are these contracts on longer term? Are these, basically your DNA run rate, current DNA run rate shall we expect that to continue in the foreseeable future?

Thank you.

Unidentified_1 [50]

Let me TRY to give you some color on on those questions, Arch. So on the port, so there is in general.

I think today given the growth that there has been, there is a general under capacity in terms of ports in Europe, where we're starting to feel more and more points of congestions that are impeding the the networks.

This is the results of basically a capacity, terminal capacity being added over the last 15-20 years at a slower pace than market has been growing and then at some point, something is bound to happen.

And I think it's starting to happen now and I think congestion in Europe ports is something that is likely to be with us for a while in some shape or form, so for a few years there is. Projects we are in the process of, significantly expanding our capacity in Rotterdam. We are about to open, a terminal down in Croatia. So there's definite, some definite points where we're looking at, expanding and others are doing, other players are doing something similar, but it will take time for all of that to come online and so I think for the next few years we are likely to see. Markets that has periodical flares of congestion across across Europe.

This is not in a way that it threatens our ability to deliver Gemini. Actually with APMT we're managing very tightly, the throughputs to the capacity to avoid delays and congestions. But clearly, it is something that, we had also to trigger, we had to announce recently that one of the services we intended to transship into Scandinavia, we will have to reinstate as a direct to just make sure that we keep our operation fluid. Something we announced a couple of weeks ago, and that will get us in a good position, but that will stay with us, I think for a while. It's good news for terminals obviously for terminal operators across Europe because it means that capacity comes at a premium and some of the inflationary pressure they are submitted to and from labor, they're able to pass on to to the lines.

And we'll be able to pass them on to the line for for the for the coming years, so.

Not a bad news for for terminal operators and an opportunity for them to to to invest and to grow profitably, something that needs to be closely managed and certainly if you don't have a terminal arm, with strong presence in Europe, that could be something that, causes a bit of a bit of worry. With respect to Gemini, I must say I don't have a very strong data that can quantify.

The phase in, phase out period, is there, like, is there any cost or how much cost would there be? It's likely that there is a little something in the quarter number, of having the two networks, changing. That, but I don't have a good way, because it's a bit separating cold and hot water, and trying to quantify this would not be very scientific. What I can tell you is the reason why we feel already.

Pretty confident talking about the fact that the cost savings that we want to see out of Gemini, we're seeing them, and even maybe a bit more is because we can see that normalization that you talk about and that when the data, when the network is fully sailing on on Gemini, then we are seeing the lower unit cost that we were targeting. And then on feeders, we don't need to to take a lot of actions to to charter ships or make long-term contracts. We have partnerships with feeder operators, those are fairly short in nature.

You have like a backbone that is more or less long term that you're sure you're going to need and then some flex around this. So I think this adds further to our flexibility both in Asia and in Europe to cope

with swings in demand should any of those occur.

Unidentified_7 [51]

Perfect.

Thank you so much and have a good day.

Unidentified_1 [52]

Good, I think, thank you again for joining us today. To summarize, we have just navigated through a quarter in which the macro and the operating environment have been historically uncertain.

Nevertheless, as demonstrated, we are well prepared to manage these ongoing challenges and to carry on with our priorities for 2025. We pulled off a very successful transition into the new Gemini network in ocean with reliability targets already met and sustained since the 1st month of operation.

Likewise, cost benefits are on track and on which we will have a lot more to say in the next quarter, and I could gather there is a lot of interest from your side also in seeing what this looks like.

In terminals we saw record high volumes supported by Gemini, which is another synergy from from it which confirms that the ocean business and the terminal business can create a lot of value when operating when operated close together.

Meanwhile, we achieved marginal improvement in logistics and services confirming the strength of our business portfolio and the relevance that it will have, in the current environment for our customers also in the short and in the long run. The strong performance we saw in the first half, together with the more resilient market demand allows us to increase our financial guidance despite uncertainty in the external environment. We remain steadfast in delivering solid results in the coming quarters. We look forward to seeing many of you on our upcoming roadshows and investor conferences and thank you for your attention and see you soon. Bye bye.

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